

MBEYA UNIVERSITY OF SCIENCE AND TECHNOLOGY (MUST)



DEPARTMENT: ELECTRONICS AND TELECOMMUNICATION ENGINEERING

PROGRAMME: BACHELOR OF ENGINEERING IN TELECOMMUNICATION SYSTEMS

LEVEL: UQF 8 – 4th year

COURSE CODE: ET 8410

COURSE NAME: ENGINEERING ENTREPRENEURSHIP

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TASK: INDIVIDUAL ASSIGNMENT

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Question: Company (concept, formation, features, advantages and disadvantages, requirement for registration, types, sources of capital).

Company: Is a legally independent entity from any single individual that is jointly owned by its stock holders and which can borrow money, enter into contracts, own property, sue and be sued. It is a modern business structure with a potential for collection of vast financial and managerial resources.

Formation of company: Establishing a company requires several crucial steps- Creating a business idea; create a workable company plan, Name Approval; choose and register a distinctive name for your company, Drafting Legal Papers; write the Articles of Association and Memorandum. Incorporation Filing; send paperwork to the company registry and Certificate of Incorporation; after it is accepted, the business is a legal entity.

Features of company: The distinguishing features of company are; total separation of ownership from management (separate entity principle), limited liability for its members and legal personality of the entity.

Advantages of Company: The corporation is responsible for its own liabilities, so the owners have limited liability, there is perpetual succession, Corporations can often borrow money easily due to their favorable image to creditors, managed by Professionals and Easy to dispose membership by just selling shares.

Disadvantages of Company: There is high startup costs and needs time and effort, Strict adherence memorandum and article, Double taxation (payment income tax on profits stockholder's dividends), No secrecy because of need to publicize financial statements and crucial decisions, less control by owner's who hold minority shares and Less flexibility due to existence of hierarchy.

Requirement for Registration of a Company: To register ownership of the company, it requires to fill and submit business registration form, to pay name registration fee, submit a well written memorandum and article of association, and Pay company registration fee.

Types of Company's: Private Limited Company (Ltd), Public Limited Company (PLC), One Person Company (OPC), Non-Profit Organization (NGO), Limited Liability Company (LLC) and Multinational Company (MNC).

Sources of Capital to Company: Companies can raise capital from-Shareholders (Equity), Loans from banks and financial institutions, Retained earnings, Government grants or subsidies, Angel investors and venture capital and from Crowdfunding.

Approaches of Company: There are various ways to form a Company-Starting from scratch as a startup, converting an existing business (e.g., sole proprietorship), Purchasing a franchise and Merging with or acquiring an existing business.

Uses of a Company: Facilitating organized business activities, generating employment, attracting investments, Enhancing credibility and trust and Limiting personal liability.

Threats/Risk involved in Company: Market competition, Regulatory changes, Financial instability, Cybersecurity risks and Legal liabilities and lawsuits.

Security required for the Company: Cybersecurity systems, Insurance coverage (e.g., liability, property), Legal compliance with government regulations, Intellectual property protection and Data protection policies.

Factors to Consider when Launching a Company: Business idea viability, Availability of capital, Legal requirements and structure, Market demand and competition, Qualified personnel, Technological infrastructure and Risk analysis and mitigation plans.

Barriers to Company: Insufficient funding, Complex registration procedures, Lack of experience or technical knowledge, Regulatory constraints, Economic and political instability and Cultural or societal opposition.